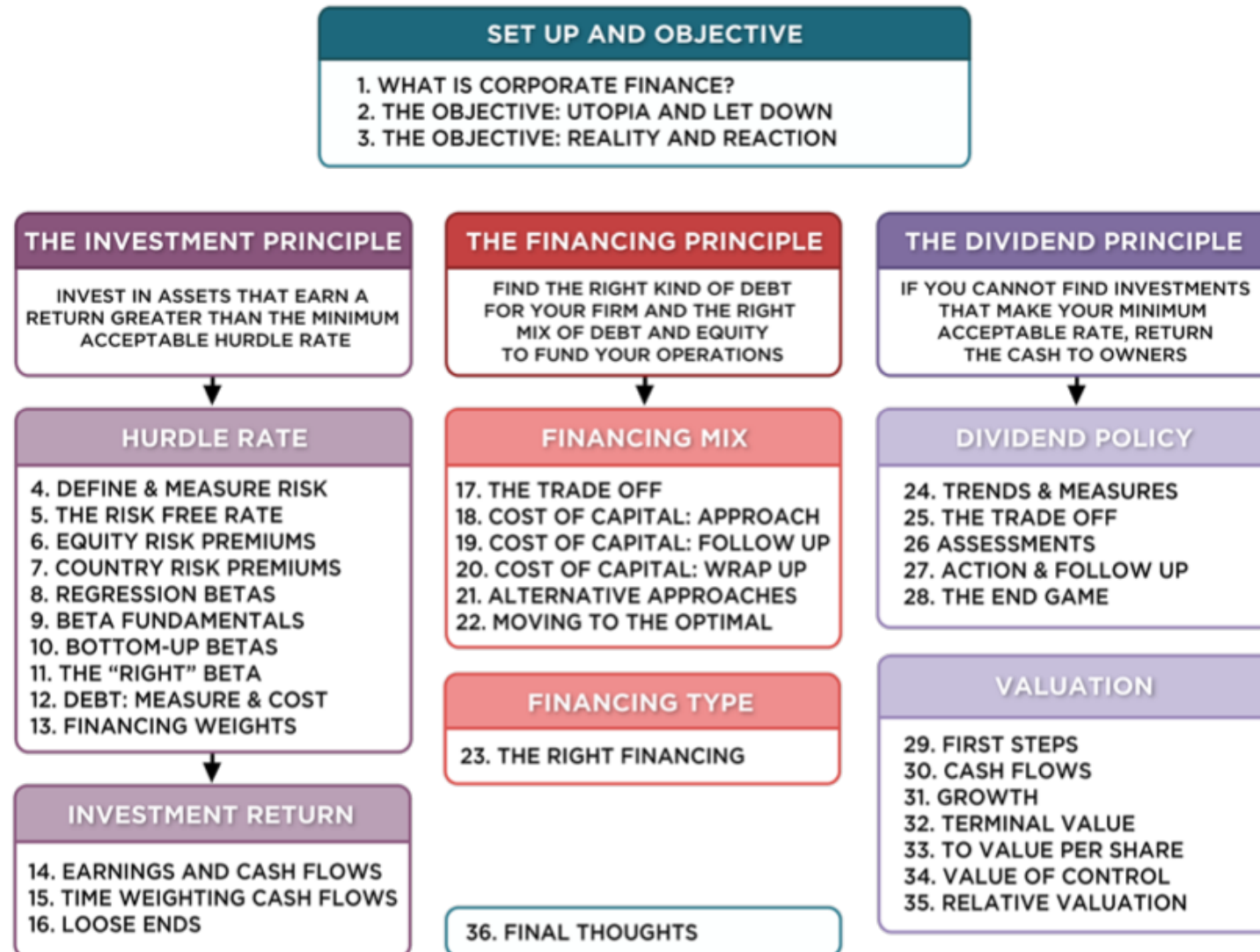


SESSION 34: VALUE OF CONTROL

Control is not always worth 20%.

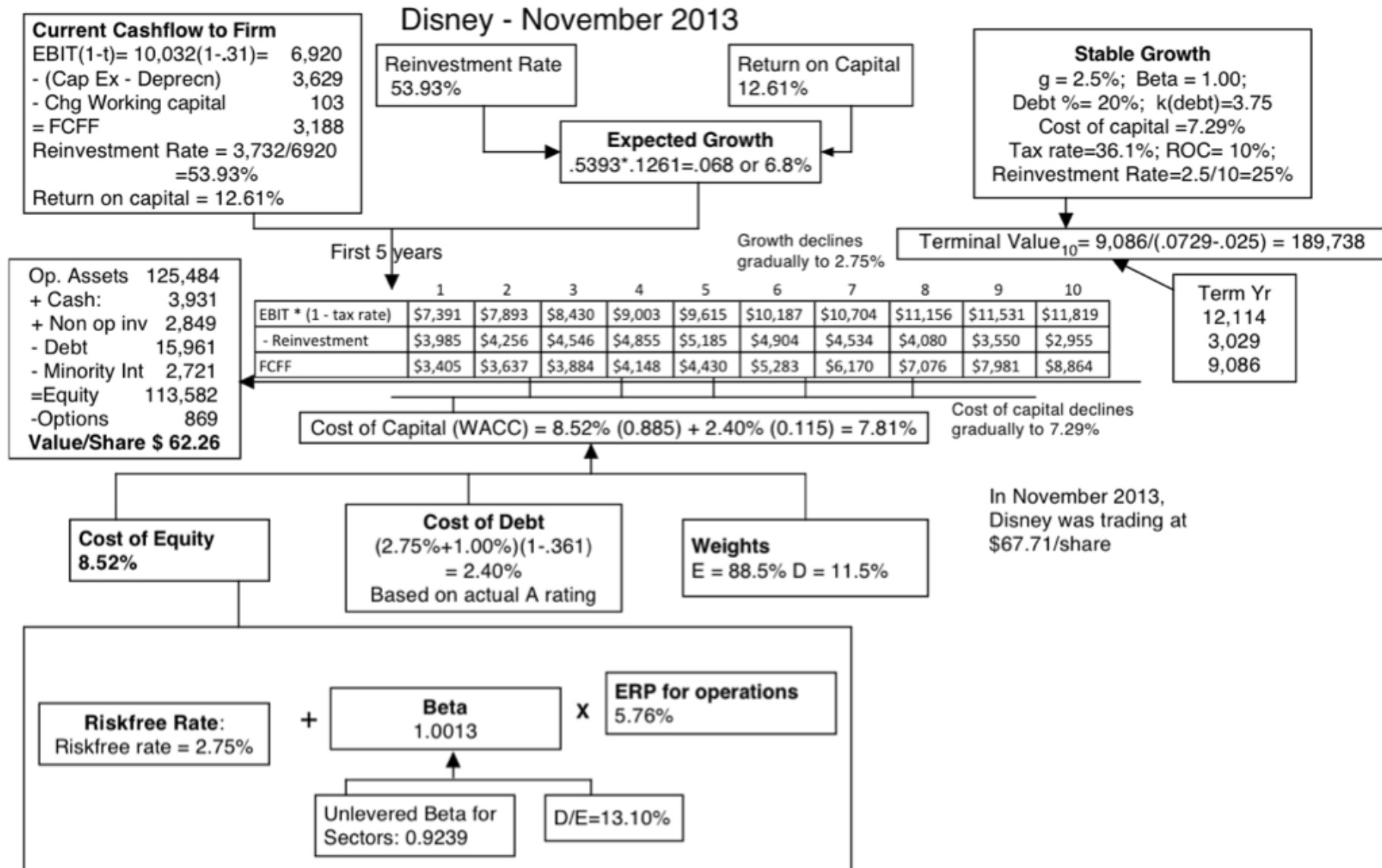
SESSION 34: VALUE OF CONTROL



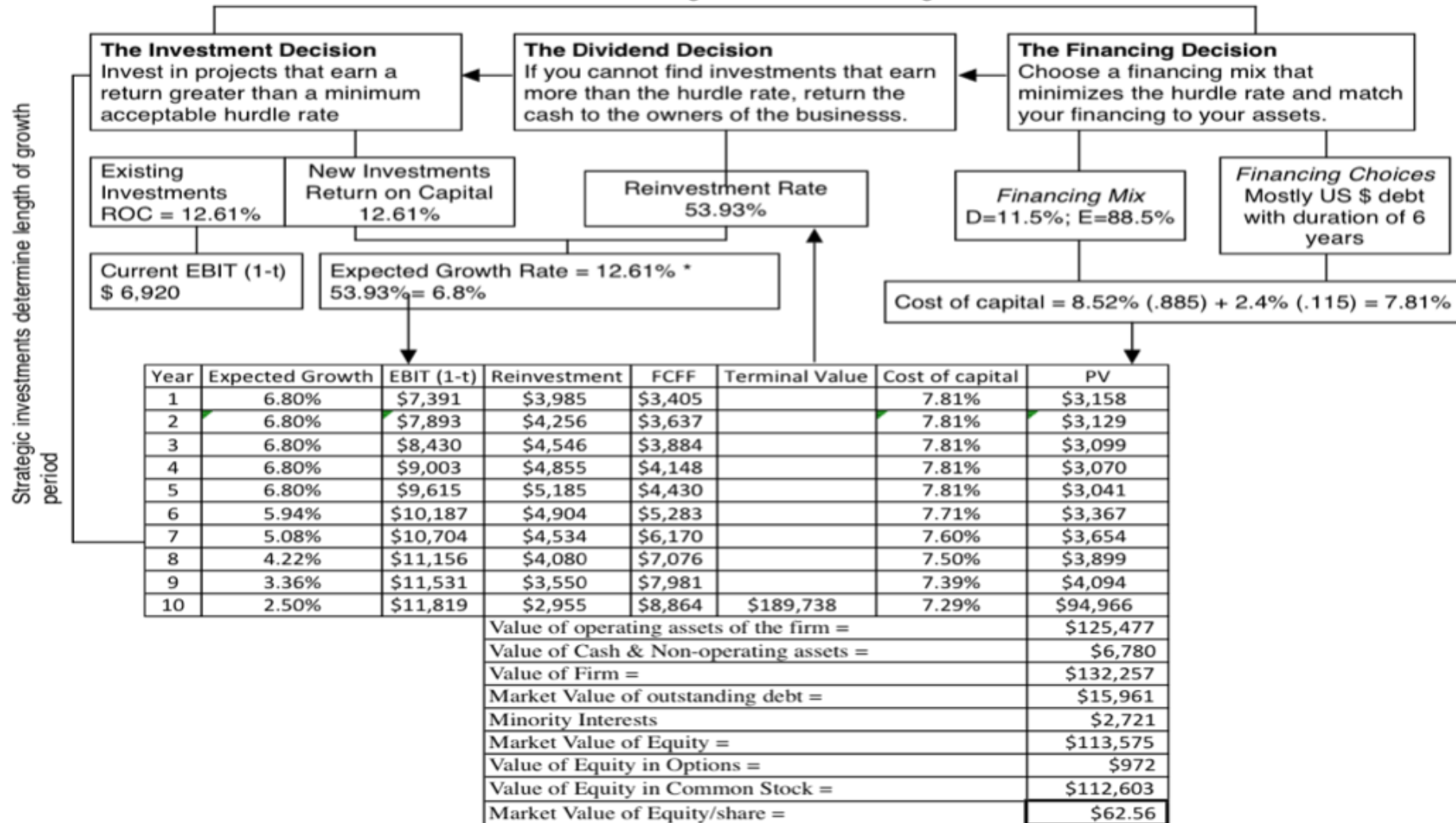
DISNEY: INPUTS TO VALUATION

	<i>High Growth Phase</i>	<i>Transition Phase</i>	<i>Stable Growth Phase</i>
Length of Period	5 years	5 years	Forever after 10 years
Tax Rate	31.02% (effective) 36.1% (marginal)	31.02% (effective) 36.1% (marginal)	31.02% (effective) 36.1% (marginal)
Return on Capital	12.61%	Declines linearly to 10%	Stable ROC of 10%
Reinvestment Rate	53.93% (based on normalized acquisition costs)	Declines gradually to 25% as ROC and growth rates drop	25% of after-tax operating income. Reinvestment rate = $g/ROC = 2.5/10 = 25\%$
Expected Growth Rate in EBIT	$ROC * \text{Reinvestment Rate} = 0.1261 * 0.5393 = 0.068$ or 6.8%	Linear decline to Stable Growth Rate of 2.5%	2.5%
Debt/Capital Ratio	11.5%	Rises linearly to 20.0%	20%
Risk Parameters	Beta = 1.0013, $k_e = 8.52\%$ Pre-tax Cost of Debt = 3.75% Cost of Capital = 7.81%	Beta changes to 1.00 Cost of debt stays at 3.75% Cost of capital declines gradually to 7.29%	Beta = 1.00, $k_e = 8.5\%$ Cost of debt stays at 3.75% Costs of capital = 7.29%

DISNEY – NOVEMBER 2013

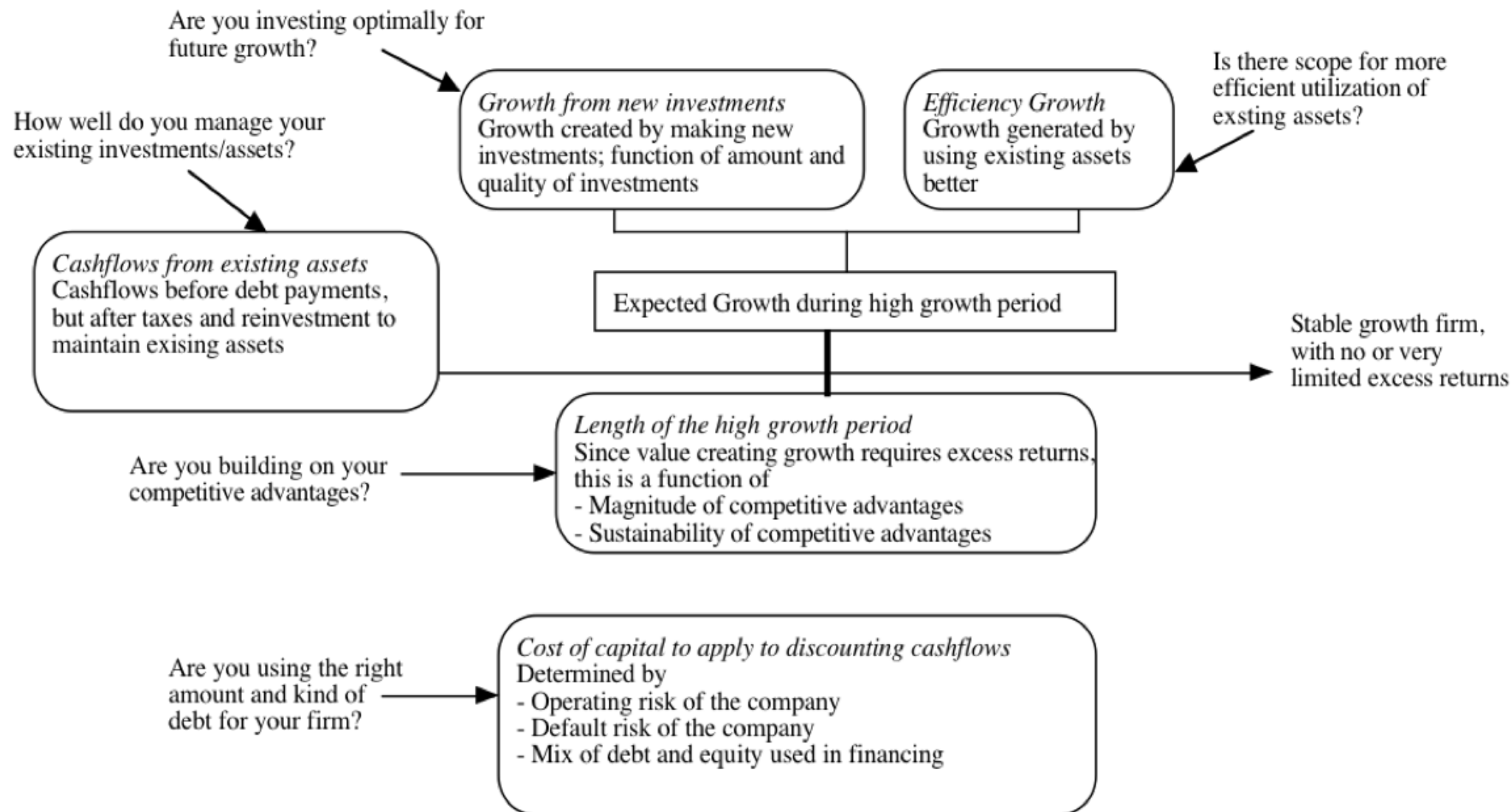


Investment decision affects risk of assets being finance and financing decision affects hurdle rate

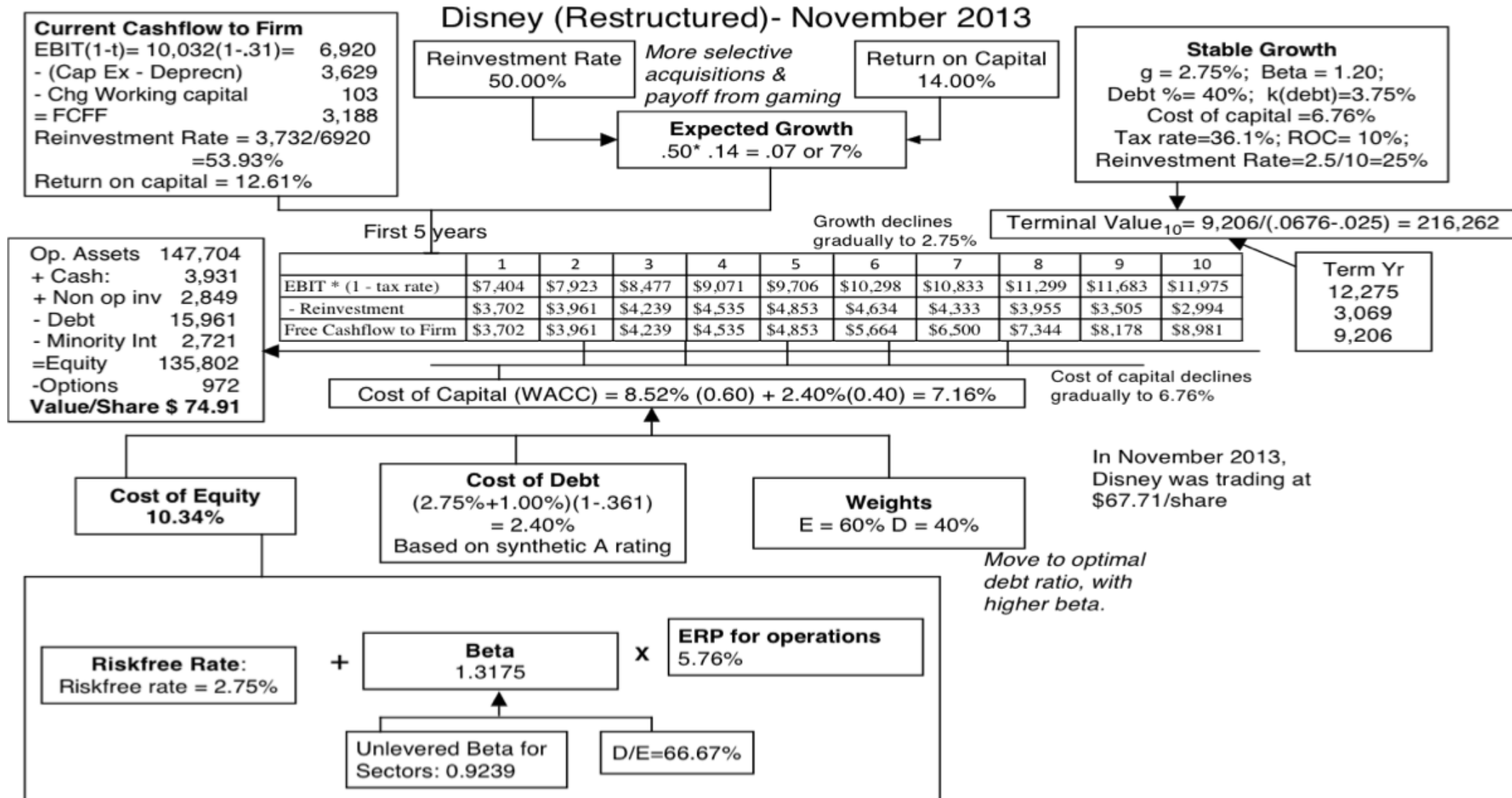


Disney: Corporate Financing Decisions and Firm Value

WAYS OF CHANGING VALUE . . .



DISNEY (RESTRUCTURED) – NOVEMBER 2013



THE VALUE OF CONTROL

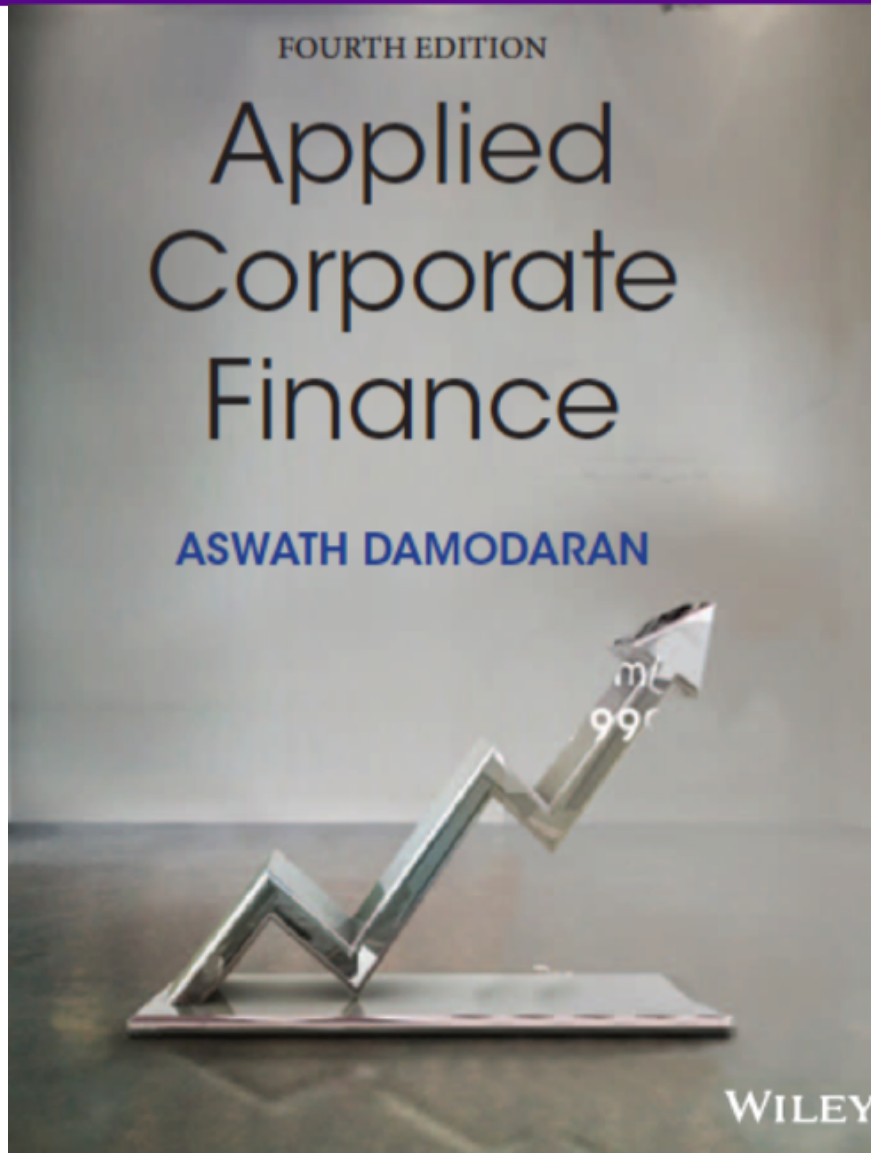
- We have two values for Disney.
 - The status quo value per share, run by existing management with its current policies in place, is \$62.56.
 - The “optimal” value, with changes to investing, financing and dividend policy, yields a value per share of \$74.91.
- The difference between the two values can legitimately be called the value of control.
 - Value of control = $\$74.91 - \$62.56 = \$12.35/\text{share}$

IMPLICATIONS

1. The value of control should be greater at poorly managed firms than well-run firms.
2. The market price of a company should reflect the expected value of control, which incorporates the profitability that management will change.
 - a. If corporate governance is so weak that there is no chance of management change, the expected value of control should go to zero and the stock price should converge on the status quo value.
 - b. In the event of a control change (an acquisition or an activist investor waging a control battle), the likelihood of management change will increase and the stock should trade at close to its optimal value.

Task

Estimate the status quo and optimal values for your firm, and the value of control



Optional: Read Chapter 12